The Memory Cycle Journal

LEAD STORY KEY NUMBERS FROM THE INBOX ON X CYCLE TRACKER EVENTS

KOSPI (TUE CLOSE)
5,647.22 −211.86 (−3.62%); KOSDAQ −4.08% · 2:15 p.m. KST: Samsung ₩222,000 (−3.06%), SK hynix ₩1,417,000 (−3.74%) · KB index data, Financial News

MICRON (MON CLOSE)
$833.59 −5.78%; Sandisk $1,075.08 (−6.59%); SOX 10,328.40 (−3.37%) as Kioxia's flat outlook spread to US memory names · Gotrade, Investing.com

LEAD STORY

MARKETS · KOREA · NAND

Memory Stocks Slide Again as a Korean Broker Warns NAND Will Turn First

Seoul gave back Monday's rebound as the US chip selloff spread. Korea Investment & Securities cut its Samsung target, and BNK said flash-memory prices are already rolling over while DRAM holds up.

By the Memory Cycle Desk · Tel Aviv · ~08:45 IST Tuesday (UTC+2) · KOSPI is the close; Korean stock prices are at 2:15 p.m. KST · CONFIRMED unless marked

KEY NUMBERS · TUESDAY IN SEOUL, MONDAY IN NEW YORK

KOREA, TUESDAY (KOSPI CLOSE; STOCKS 14:15 KST)	
KOSPI (close)	**5,647.22 (−3.62%)**
Samsung	**₩222,000 (−3.06%)**
SK hynix	**₩1,417,000 (−3.74%)**
KIS Samsung target	**₩440k (from ₩570k)**
KIS 4Q DRAM / NAND ASP	**+7% / +6% q/q**
WSTS NAND ASP, Sept	**−1.6% m/m**

US MONDAY CLOSES AND PRICES	
Micron	**$833.59 (−5.78%)**
Sandisk	**$1,075.08 (−6.59%)**
SOX	**10,328.40 (−3.37%)**
DDR5 16Gb spot	**$61.50 (flat)**
DDR4 16Gb spot	**$82.72 (flat)**
DRAM lead time	**19 wks (−1)**

What this shows: the selling is about the rate of change, not the level. Prices are flat at record highs, but brokers now forecast smaller rises, with NAND slowing first. Korean stocks are at 14:15 KST (07:15 IST). Sources: Financial News, Seoul Economic Daily, Hankyung, Yonhap, Gotrade, Investing.com, TrendForce.

The KOSPI fell 3.62% to 5,647.22 on Tuesday, erasing Monday's 2.24% gain, and the KOSDAQ lost 4.08%. Samsung was down 3.06% at ₩222,000 and SK hynix 3.74% at ₩1,417,000 at 2:15 p.m. In New York on Monday, Micron fell 5.78% to $833.59, Sandisk 6.59% to $1,075.08 and the Philadelphia semiconductor index 3.37%, as Kioxia's flat December-quarter guide and worries about AI spending weighed (Gotrade, Investing.com).

Korea Investment & Securities cut its Samsung target to ₩440,000 from ₩570,000 and kept a Buy rating. It forecasts fourth-quarter revenue of ₩216.4 trillion and operating profit of ₩123.3 trillion, with DRAM and NAND prices up 7% and 6% from the third quarter. It warned that price gains "could be limited" from next year (Seoul Economic Daily). BNK Investment's Lee Min-hee went further on flash: NAND leads DRAM in the cycle, Kioxia's flat guide suggests NAND price rises are stopping, NAND spot prices have been falling since April, and WSTS data show the global NAND average price fell 1.6% in September from August, the first drop in a year (Hankyung).

Our call: unchanged overall; NAND looser again, DRAM steady.

CYCLE SIGNAL: NAND SECOND DERIVATIVE TURNING, DRAM RATE OF INCREASE SLOWING BUT PRICES STILL RISING

DEMAND · CUSTOMERS

Apple Says Memory Costs Will Keep Rising, and It Is Committing More Cash to Secure Supply

Apple guided December-quarter gross margin to 45–46%, down from 47.9% in the September quarter, as memory costs rise further. Chief financial officer Kevan Parekh said memory costs will keep rising into next year. Asked about a long-term supply deal, operations chief Sabih Khan did not confirm one but said Apple is working closely with memory suppliers and its purchase commitments rose $33 billion in the quarter (Reuters). Chief executive John Ternus called memory pricing "unprecedented" (MacRumors).

FACT CHECK · LTAS

Samsung's Long-Term Contract Goal Is 60–70% of Capacity by 2030, Not 70–80%

TrendForce's Weekly Radar 008 (Nov 2) says Samsung "targets 70–80% of capacity under LTAs and SK hynix 50%," without citing a source. That does not match Samsung's own earnings call on Oct 29: it has signed long-term agreements with 10 customers, is negotiating with 10 more, and aims to cover 60–70% of total capacity by 2030 (ChosunBiz, Korea JoongAng Daily). The higher figure probably mixes in other estimates. KB Securities said about 75–80% of 2027 planned output is already booked (Korea Herald), and a September TrendForce report put about 70% under contract through 2031. We keep 60–70% by 2030 as Samsung's stated target.

HBM · CUSTOMERS · CHINA

Altman Courts Korea's Memory Makers as a Report Details an HBM Route to China

OpenAI's Sam Altman met about 50 Samsung affiliate presidents in Yongin on Oct 31 and lunched with SK Group chairman Chey Tae-won; HBM supply was expected to be on the agenda, but no deal was announced (CNBC, Herald Business). Separately, The Information reports that smugglers ship high-bandwidth memory to China bundled with lower-performance server processors, which exploits export rules that rate a package by its processor rather than its HBM content REPORT · PAYWALLED.

FROM THE INBOX · SINCE NOV 2, 08:10 IST

NEW **Apple: memory is now the margin story.** Gross margin excluding tariff refunds fell about 1 point from the previous quarter, "primarily driven by higher memory costs"; December-quarter revenue guide +7–10%, gross margin 45–46%. Earnings note (Apple FQ4)

NEW **NAND supply catching up.** Sandisk's results suggest NAND supply is catching up and pricing is moderating; memory growth rates are peaking on base effects. Jefferies semis daily

NEW **Memory's share of the AI rack keeps rising.** Morgan Stanley sees memory's share of AI rack cost rising from 9% to 26%; Macronix's chairman sees the memory shortage lasting to 2030. Broker note via semis digest

Cycle score slips. Memory Cycle Score 55.63, still "Late upcycle", −2.97 on the day and −4.63 over 7 days (Nov 2). Memory Cycle Score tracker

ON X · SINCE MON ~08:00 · IST

@SemiAnalysis_ · Nov 3 02:02
Memory makers now run ~80% operating margins (Micron 80.7%, SK hynix 79.7%, Samsung semis 72.4%), more than 20 points above the 2018 peak.
x.com/…/2117407007829303721

@pequityresearch · Nov 2 21:00
Nomura on SK hynix: 2027 HBM prices +74% y/y; HBM4 to pass 50% by year-end.
x.com/…/2117330909091201068

@StockSavvyShay · Nov 2 15:13
UBS: DRAM capacity +147% by 2030 to ~89 EB (Samsung 31, Micron 26, SK hynix 22, CXMT 10), still under a third of a 282 EB "agentic" demand scenario.
x.com/…/2117243577734705540

@trendforce · Nov 2 14:00
DRAM lead times eased by one week to 19 weeks, still very tight (Weekly Radar).
x.com/…/2117225223888015524

CYCLE TRACKER · UNCHANGED: NAND LOOSER, DRAM STEADY

GAUGE	TODAY VS NOV 2 (KPI WATCH LIST)	NUDGE
Contract ROC	KIS sees 4Q DRAM/NAND ASP +7%/+6% and limited gains next year; WSTS Sept NAND ASP −1.6% m/m; TrendForce 4Q guide DRAM +10–15%, NAND +15–20%	**Slowing (NAND first)**
Spot vs contract	DDR5 16Gb $61.50 and DDR4 16Gb $82.72 flat; spot stalled, some legacy spot below contract (TrendForce)	**Stalling**
LTAs / lead times	Samsung 60–70% by 2030 confirmed (not 70–80%); DRAM lead time 19 weeks (−1), still very tight; Apple purchase commitments +$33B	**Long, a touch easier**
Margins / guide	Operating margins ~80% at Micron and SK hynix, 20+ pts above 2018 peak (SemiAnalysis); Apple says memory costs keep rising	**Peak zone**
Capex / new supply	UBS DRAM capacity +147% by 2030; TEL WFE >$210B 2027; shells first, tools timed to demand	**Building**

VERDICT VS PREVIOUS CALL (NO. 27, NOV 2)
Late upcycle; tight through 2027 and booked into 2028. Unchanged overall. NAND is looser again: BNK says NAND is turning first, WSTS shows the first monthly NAND price fall in a year, and Korea Investment & Securities sees limited gains next year. DRAM is steady: spot is flat, not falling, contract prices are still rising, lead times are 19 weeks, and Apple expects memory costs to rise into 2027. Playbook: margins are in the peak zone and stocks are falling first, the usual pattern. Next tests: AMD tonight and TrendForce's 1Q27 contract call.

EVENTS CALENDAR · NOV 3–16 · ISRAEL TIME (IST, UTC+2) · US CASH OPEN 16:30

Tue Nov 3	US midterm elections · AMD (call 00:00 Nov 4) · Supermicro, Arista, Astera Labs	AI
Wed Nov 4	Qualcomm (call 23:45) · Arm (call 00:00 Nov 5) · Coherent, GlobalFoundries, Camtek · Thu: Nova, Microchip	Phones
Fri Nov 6	US payrolls 15:30 · Micron Taoyuan union talks (reported)	Macro
Mon Nov 9	Sandisk split record date (8-for-1; split-adjusted trading from Nov 20)	NAND
Tue Nov 10	TSMC October sales (07:30) · US CPI 15:30 · CoreWeave	AI
~Wed Nov 11	Korea Nov 1–10 exports (chips) · Nvidia FQ3 due mid-Nov (date to be confirmed)	Trade

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Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #28 · Nov 3, 2026